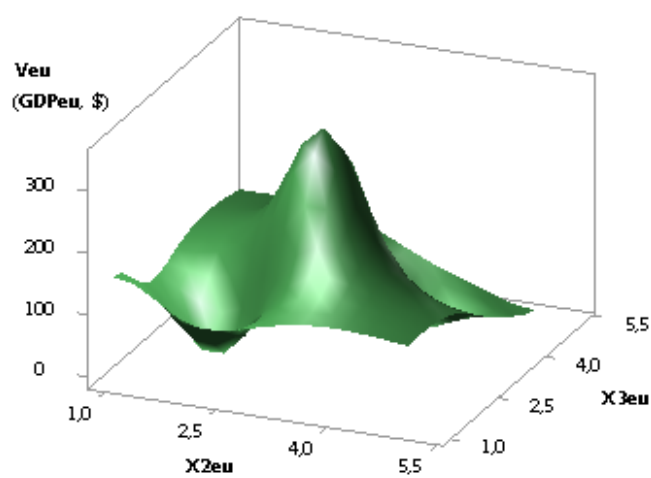


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THEORY OF ECONOMIC CRISES

I



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‘For me a word of wisdom is more valuable than any gold.’

Democritus

INTRODUCTION

The issue of economic and financial crises has been attended in a wide range of studies offering various solutions, none, however, allowing for a complex approach. Thus, the present study offers to apply the theory of shells to determine and describe the processes in crisis economy. The theory, so applied, allows for predicting theoretically possible scenarios, performing calculations and, based on these, developing ways to resolve crisis conditions in an economy. Governments may use the instruments offered and select a most suitable and effective solution either maintaining the current level or even increasing the country's GDP.

The book is dedicated to my son *Mikhail* and grandson *Stepan*, and to my late beloved parents and elder brother.